Sablewind Operating LLC

1400 Sablewind Plaza, Suite 610
Midland, Texas 79701
Joint Interest Billing Department

June 1, 2026

Caprock Resources LLC
Attention: Joint Interest Owner Representative
Owner Number OW-10287

Re: Authorization for Expenditure AFE-2026-0417 — Caprock 14-2H — Recompletion

As operator of the captioned well, we enclose an Authorization for Expenditure covering a proposed recompletion of the existing wellbore into the upper interval. The estimate covers rig, wireline, stimulation, fluid handling, and the tangible equipment listed on the attached form.

AFE NUMBER	AFE-2026-0417
WELL	Caprock 14-2H
AFE TYPE	Recompletion
TOTAL GROSS ESTIMATE	$486,800.00
YOUR WORKING INTEREST	0.250000
YOUR NET SHARE OF ESTIMATE	$121,700.00
RESPONSE DUE	June 16, 2026

Please return one executed copy of the AFE marked to elect or decline participation on or before the response date shown above. Costs will be billed on the monthly joint interest billing statement for the property under the operating agreement.

Direct questions on the estimate to the joint interest billing department at the address above.

OPERATOR REPRESENTATIVE SIGNATURE

DATE

Signature block intentionally blank. An approver name is typed by a person, never pre-filled.

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AUTHORIZATION FOR EXPENDITURE

AFE NUMBER	AFE-2026-0417	**WELL**	Caprock 14-2H
AFE DATE	June 1, 2026	**API NUMBER**	42-389-41207
AFE TYPE	Recompletion	**COUNTY**	Reeves
OPERATOR	Sablewind Operating LLC	**STATE**	TX

ESTIMATED COST DETAIL

LINE	ACCOUNT	DESCRIPTION	CATEGORY	AMOUNT (USD)
INTANGIBLE COSTS				
1	4310	Recompletion rig and daily rate	intangible	128,400.00
2	4315	Wireline and perforating	intangible	96,750.00
3	4320	Stimulation and treating services	intangible	142,500.00
4	4325	Fluid hauling and disposal	intangible	38,200.00
Subtotal, intangible				**405,850.00**
TANGIBLE COSTS				
5	4410	Tubing and downhole equipment	tangible	52,300.00
6	4420	Wellhead and surface equipment	tangible	28,650.00
Subtotal, tangible				**80,950.00**
Total estimate				**486,800.00**

Amounts are gross to the property. Each owner is billed its share under the operating agreement and the division of interest of record.

Synthetic demonstration document — not an actual record

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SCOPE OF WORK

Move in and rig up workover unit. Kill well and pull existing production string. Run cast-iron bridge plug and isolate the lower interval. Perforate the upper interval and stimulate per the treatment schedule. Run new tubing and downhole equipment, reset the wellhead, return the well to production, and haul recovered fluid to a permitted disposal facility.

BASIS OF ESTIMATE

Service costs are estimated from the current master service agreement rate sheet for the area. Tangible equipment is estimated at quoted replacement cost. The estimate excludes contingency, overhead, and any cost of a sidetrack should the isolation attempt fail.

OWNER ELECTION AND APPROVAL

ITEM	ENTRY
Election (participate / decline)	
Owner working interest	
Owner net share of estimate	
Approved by (print name)	
Title	
Signature	
Date	

Approval fields are blank by design. A person types the approver name; no system defaults one.